Human Agency Index

ECONOMIC DESIGN PROJECT

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THE NEW SCHOOL PARSONS

AGENDA

- **The Problem**
  - ① Job Security Threatened by AI Automation
  - ② Companies began replacing human with AI.
  - ③ Work culture: Profit and efficiency prioritized over People
  - ④ Labor Automation Trend: 20 years of curve shifts to AI
  - ⑤ AI Adoption Gap: Trend-Driven AI Adoption Fails
- **Guiding Questions**
- **Solution proposal: Human Agency Index**
  - Concept
  - Survey Questions
  - Incentive Design
- **Why it matters**

THE PROBLEM

Human Job Security is threatened by AI Automation right now.

THE PROBLEM

① Job Security Threatened by AI Automation

66.7%

of U.S. existing jobs threatened by AI

Goldman Sachs report

40%

of Low-income Countries jobs threatened by AI

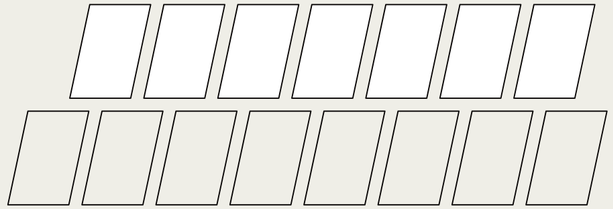
International Monetary Fund

Generative AI could raise global GDP by 7%, Goldman Sachs Report (Apr 5, 2023)
AI Will Transform the Global Economy. Let's Make Sure It Benefits Humanity, IMF Blog (Jan 14, 2024)

THE PROBLEM

② Companies began replacing human with AI.

4,000 *roles out of 9,000 in Customer Service replaced* **Salesforce**

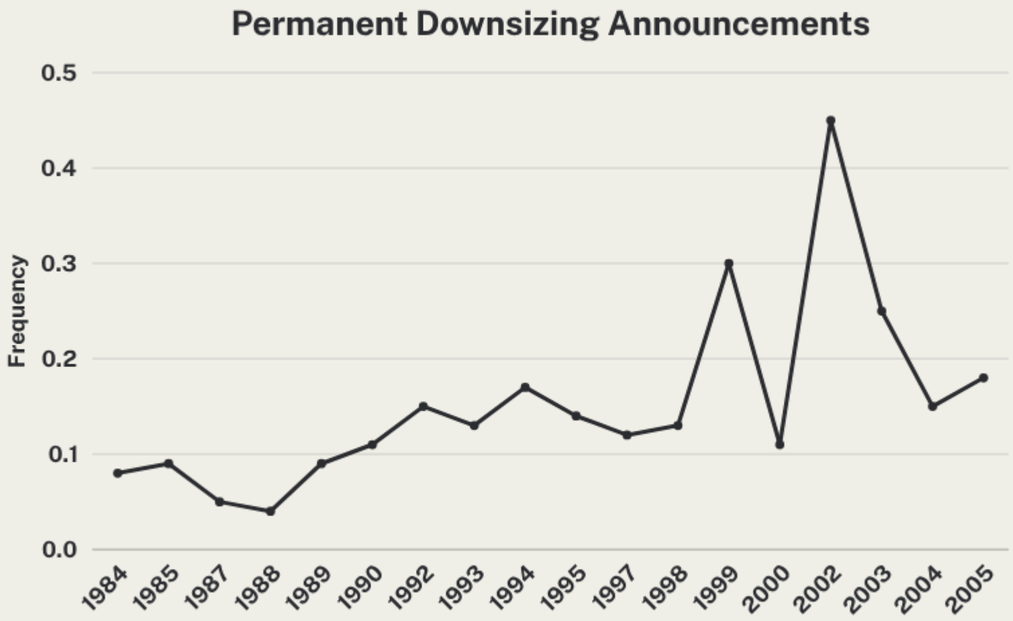


14,000 *roles out of 30,000 jobs lost were Ops, HR, AWS* **Amazon**

AI continues to drive job cut in big tech as automation push intensifies in Q3 2025 (Nov 13, 2025)

THE PROBLEM

③ Work culture: Profit and efficiency prioritized over People

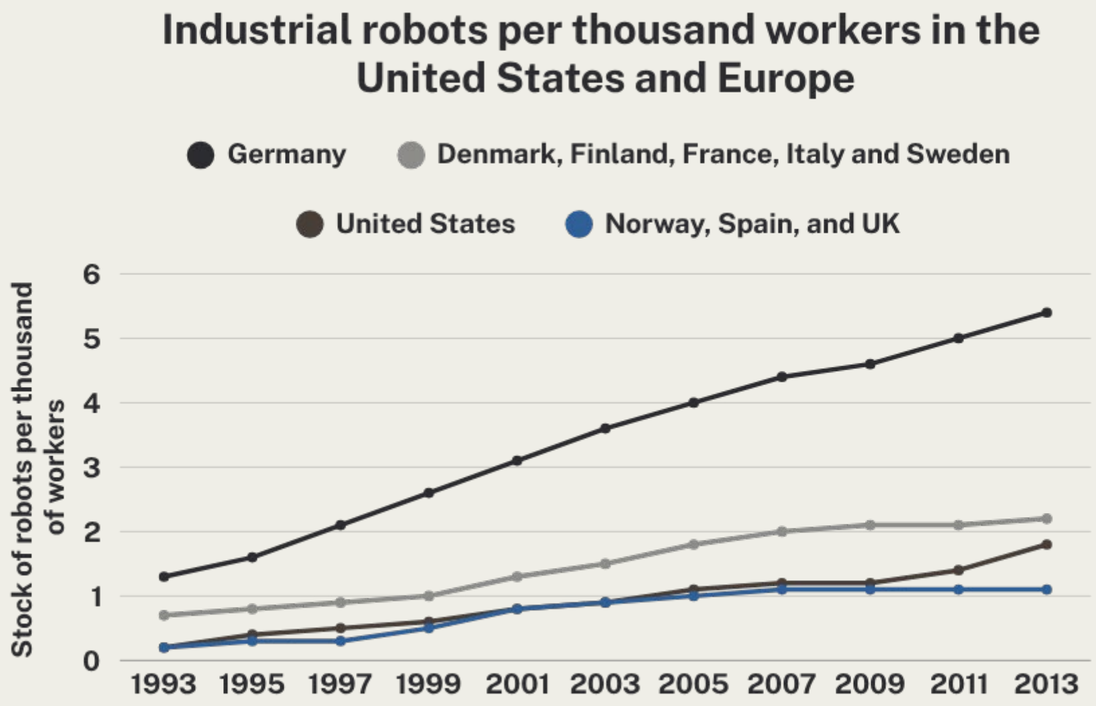


Despite **resistance from labor unions** , the largest firms **downsize** when they miss their projected earnings.

Financialization and corporate downsizing as a shareholder value strategy, Oxford Academic (Jul 19, 2021)

THE PROBLEM

④ Labor Automation Trend: 20 years of curve shifts to AI



"There is renewed concern that advances in robotics and **artificial intelligence** will lead to massive job losses."

—Brynjolfsson & McAfee, 2014; Ford, 2015

Robots and Jobs: Evidence from US Labor Markets, The University of Chicago Press Journal (Jun, 2020)

⑤ AI Adoption Gap: Trend -Driven AI Adoption Fails

More than half of companies that laid off employees for AI reported ***regretting*** their decision.

—*Techrepublic.com* (May 19, 2025)

'We Acted Too Quickly': Over Half of Companies Regret AI -Driven Layoffs, Report Finds, TechRepublic (May 19, 2025)

GUIDING QUESTIONS 1

How can we **re-humanize** the AI adoption process itself?

How can we **rebalance power between AI** and **humans**?

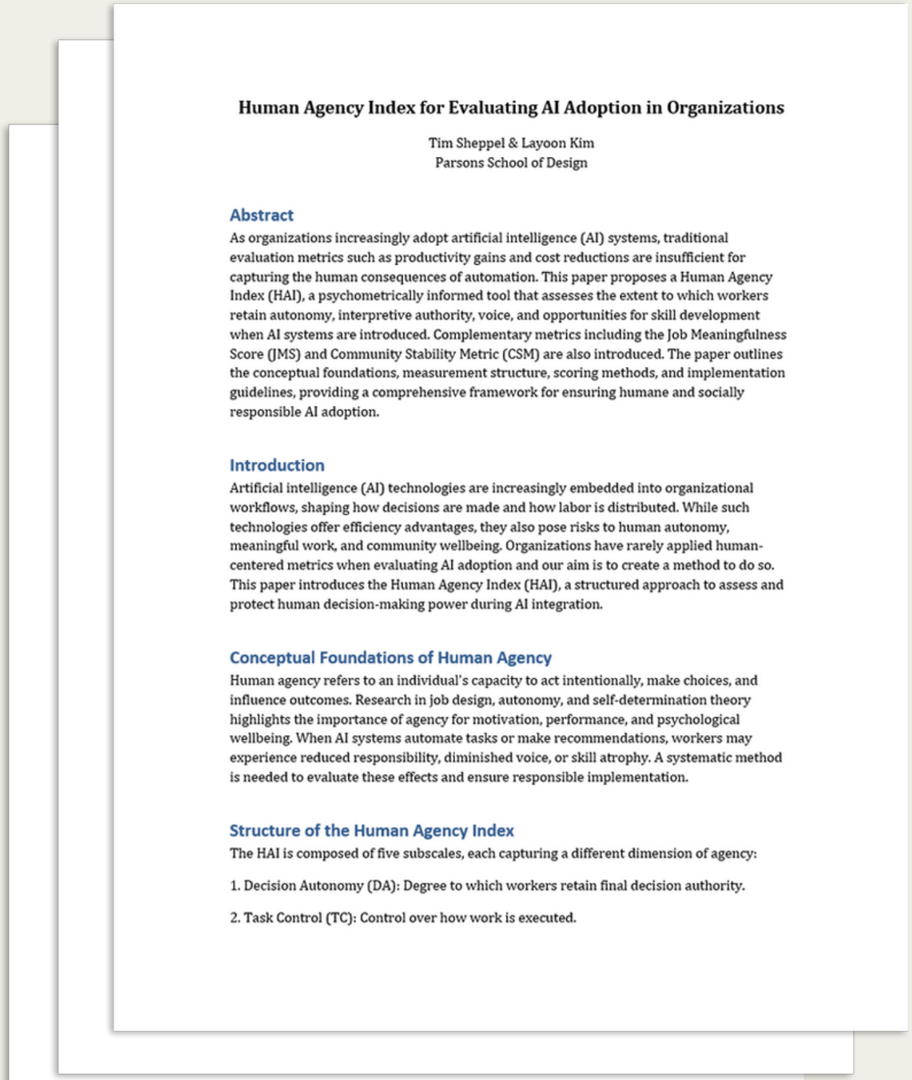
SOLUTION PROPOSAL

Human Agency Redesign

Human Agency Index

HUMAN AGENCY INDEX(HAI): CONCEPT

We designed the **Human Agency Index** (metrics organizations can use when deciding whether and how to adopt AI). Instead of relying solely on productivity gains or cost -reduction calculations, **companies must evaluate AI implementation through a new set of humane, human -impact performance indicators.**



Human Agency Index for Evaluating AI Adoption in Organizations

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Abstract

As organizations increasingly adopt artificial intelligence (AI) systems, traditional evaluation metrics such as productivity gains and cost reductions are insufficient for capturing the human consequences of automation. This paper proposes a Human Agency Index (HAI), a psychometrically informed tool that assesses the extent to which workers retain autonomy, interpretive authority, voice, and opportunities for skill development when AI systems are introduced. Complementary metrics including the Job Meaningfulness Score (JMS) and Community Stability Metric (CSM) are also introduced. The paper outlines the conceptual foundations, measurement structure, scoring methods, and implementation guidelines, providing a comprehensive framework for ensuring humane and socially responsible AI adoption.

Introduction

Artificial intelligence (AI) technologies are increasingly embedded into organizational workflows, shaping how decisions are made and how labor is distributed. While such technologies offer efficiency advantages, they also pose risks to human autonomy, meaningful work, and community wellbeing. Organizations have rarely applied human-centered metrics when evaluating AI adoption and our aim is to create a method to do so. This paper introduces the Human Agency Index (HAI), a structured approach to assess and protect human decision-making power during AI integration.

Conceptual Foundations of Human Agency

Human agency refers to an individual's capacity to act intentionally, make choices, and influence outcomes. Research in job design, autonomy, and self-determination theory highlights the importance of agency for motivation, performance, and psychological wellbeing. When AI systems automate tasks or make recommendations, workers may experience reduced responsibility, diminished voice, or skill atrophy. A systematic method is needed to evaluate these effects and ensure responsible implementation.

Structure of the Human Agency Index

The HAI is composed of five subscales, each capturing a different dimension of agency:

1. Decision Autonomy (DA): Degree to which workers retain final decision authority.

2. Task Control (TC): Control over how work is executed.

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HAI: SURVEY CATEGORIES

1

Decision Autonomy

4 items

Degree to which workers retain final decision authority.

2

Task Control

4 items

Control over how work is executed.

3

Interpretive Authority

4 items

Ability to interpret, override, or contextualize AI outputs.

4

Voice and Appeal

3 items

Mechanisms for participating in AI design and appealing AI decisions.

5

Skill Development Opportunity

3 items

Availability of learning and growth pathways in AI-mediated work environments.

HAI: SURVEY QUESTIONS

Category 1: Decision Autonomy (4 items)

Degree to which workers retain final decision authority.

Question #1.

I have the final authority to approve or reject decisions suggested by the AI in my job.

Question #2.

Even when the AI suggests an action, I can choose a different action without penalty.

Question #3.

My manager supports my independent decisions when they differ from the AI.

Question #4.

I decide which tasks are assigned to me, rather than the AI system.

HAI: SURVEY QUESTIONS

Category 2: Task Control (4 items)

Control over how work is executed.

Question #5.

I control the order and timing of how I complete my core tasks.

Question #6.

I can change how a task is completed if I think a different approach works better.

Question #7.

I can pause or stop automated processes to change the workflow.

Question #8.

I can decide when to involve the AI vs. when to act manually.

HAI: SURVEY QUESTIONS

Category 3: Interpretive Authority (4 items)

Ability to interpret, override, or contextualize AI outputs.

Question #9.

I can view how the AI reached a recommendation (explainability).

Question #10.

I am trained to interpret AI outputs and understand their limitations.

Question #11.

I can refuse to follow an AI recommendation when I see a problem.

Question #12.

I can annotate AI outputs to improve future behavior.

HAI: SURVEY QUESTIONS

Category 4: Voice & Appeal (3 items)

Mechanisms for participating in AI design and appealing AI decisions.

Question #13.

There is a clear and effective process to appeal AI -driven decisions.

Question #14.

Workers were consulted in the AI system's design or deployment.

Question #15.

Feedback I submit about the AI leads to visible change.

HAI: SURVEY QUESTIONS

Category 5: Skill Development Opportunity (3 items)

Availability of learning and growth pathways in AI-mediated work environments.

Question #16.

The organization provides training to work with the AI.

Question #17.

My role now includes opportunities to learn new, valuable skills.

Question #18.

AI has reduced my routine work, letting me do more complex tasks.

GUIDING QUESTIONS 2

How do we create **incentives**
so strong that **companies want or need**
to use these Human Agency Index?

HAI: INCENTIVE DESIGN

1. Market Incentives

Boosting the Human Agency Index functions as an HSG (Human Social Governance) indicator, much like how the ESG Index (Environmental Social Governance) transformed corporate accountability.

1) Consumer Trust Premium

A strong Human Agency Score can generate a trust premium from both consumers and investors.
For example, organizational decision -making thresholds could be defined as follows: A company scoring 92% on the Human Agency Index would signal a “warranted trust premium.”

- ⩾ 75: Acceptable
- 50–74: Requires mitigation
- <50: Unacceptable or high-risk

2) Investor Attraction

Companies with low-risk, human-centered AI practices are more likely to attract investors, helping strengthen corporate resilience and long-term value creation.

HAI: INCENTIVE DESIGN

2. Financial Incentives

By integrating the Human Agency Index into their operations, companies can reduce the Cost of AI Failure and lower overall management risk. Organizations that adopt the Human Agency Index can significantly decrease the likelihood of:

- AI-related liability stemming from economic damage or negligence
- Worker resistance or strikes triggered by poorly implemented automation
- Reputational harm and loss of public trust caused by misaligned AI decisions

By embedding **Human Agency Index** into organizational workflows, AI adoption can **no longer be justified purely on efficiency or profit**.

WHY IT MATTERS

Targets the root cause

It directly **challenges** the "**profit over human**" mindset driving harmful AI substitution

Scalable and structural

Once adopted, these metrics **shape future behavior** across teams and decisions, not just one project.

System -level intervention

Instead of changing the technology, **HAI** shifts the **economic logic** guiding decisions.

Restores human dignity

Shifting these KPIs reorients organizations to **value human wellbeing** — not just output.

If **AI** is the tide we can't outrun,
then **human agency**
must be the anchor.

Thank you!

Layoon Kim
Tim Sheppel

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